# Abhijit Tagade


CONTACT INFORMATION

LSE Department of Economics
Sir Arthur Lewis Building, London WC2A 3PH
EMAIL: a.tagade@lse.ac.uk
WEBPAGE: atagade.com

PLACEMENT DIRECTOR: Matthias Doepke
EMAIL: m.doepke@lse.ac.uk
ADMINISTRATOR: Emma Taverner
EMAIL: e.taverner@lse.ac.uk


EDUCATION

London School of Economics, Ph.D. in Economics — Expected 2027
Harvard University, Department of Economics, Fellow — 2024
*Hosts:* Xavier Gabaix, Raj Chetty

Paris School of Economics / EHESS, Master A.P.E. — 2020
*Fields:* Theory, economic history; *Advisor:* Thomas Piketty
Columbia University, M.A. in Economics and Education — 2017
University of Madras, B.Sc. in Mathematics — 2013

FIELDS

*Primary:* Financial economics, public economics
*Secondary:* Innovation, industrial organization, macroeconomics

REFERENCES

| Professor Philippe Aghion | Professor Xavier Jaravel | Professor John Van Reenen |
|---|---|---|
| INSEAD and Collège de France | London School of Economics | London School of Economics |
| philippe.aghion@insead.edu | x.jaravel@lse.ac.uk | j.vanreenen@lse.ac.uk |

JOB MARKET PAPER

**Creation, Destruction and the Social Value of Innovations.**


ABSTRACT: How much value do innovations create, and for whom? I provide a new measure of the economic value created and destroyed for producers and consumers. Using stock market responses to news about patents granted between 1981 and 2024 to companies listed in the United States, I estimate that one dollar of private value created for innovators produced an additional $1.05 on net for other producers. This external value produced by innovations has grown over time as a share of the US economy and varies substantially by industries that differ in their technological connectedness, competitiveness and market size. These forward looking estimates derived from financial data predict real growth, market power and productivity of firms, and greater creative destruction within sectors accounts for subsequent rise in output and productivity, and decrease in prices. To interpret these results, I develop an endogeneous growth model featuring multi-product firms in production networks competing for leadership over products through innovation through endogenous entry. Innovations provide fresh ideas that spur research efforts in other firms, so sectors that receive more ideas do more research and their products change hands faster. Consumers benefit in equilibrium from technology gains and rivalry losses, which are two stages of one process: spillovers speed up the destruction that hands earlier innovations to consumers that grows with the innovating sector's centrality in the production network.


WORKING PAPERS

**Who Certifies the Machine: Limits to Gains from AI-Assisted Work.** (2026)


ABSTRACT: AI lowers the cost of generating output, but not the cost of certifying it. We study a worker who can either produce a task directly or delegate it to AI and repair the output, while bearing a reputation cost for certifying output that proves to be wrong. Optimal behavior sorts non-monotonically in task difficulty: the worker delegates and repairs the easiest tasks, produces intermediate ones directly, delegates the hardest tasks and verifies them up to their ability, and declines to either produce or delegate what they cannot understand. This opens a wedge between what is "shipped" and what is "warranted": as AI assistance improves, the binding constraint shifts to what the worker can certify. Productivity need not rise and worker effort need not fall with improvements in AI, as the worker's own ability to produce and discriminate output becomes important. Yet the same mechanism can make deskilling privately rational, as ever more effort is needed to verify increasingly correct-looking output. We present a few extensions:

the gains from breaking complex tasks into simpler pieces, the non-diversifiability of risk from latent defects in AI, and implications for jobs as bundles of tasks that vary in complexity.

**On the Shoulders of Giants: Financial Spillovers in Innovation Networks.** (2025)
With Bijan Aghdasi. *CEP Discussion Paper 2117*. (*Link*)

ABSTRACT: Do markets price knowledge spillovers? We show that patent grants influence the stock returns of firms that are connected through technological knowledge dependencies. Using directed patent citations among publicly listed companies in the United States, we construct a granular measure of each firm's exposure to new patents granted to its technologically upstream firms. Patents granted to these upstream companies significantly boost its abnormal stock returns during the week of the grant. We find that these financial spillovers are predominantly localized within a firm's immediate technological connections. Additionally, we provide a novel empirical decomposition of financial spillovers generated from patent grants, by distinguishing those spillovers emerging from sources of technological knowledge, from those emerging from product market rivals (negative effect) and suppliers (positive effect). Our findings are robust to alternative specifications and placebo tests, and they suggest that technological knowledge spillovers create important market-priced ties between firms that are not fully captured by traditional product market relationships.

**Innovation Networks and Business-Stealing.** (2023)
With Philippe Aghion, Matthew O. Jackson and Antoine Mayerowitz.
*CEPR Discussion Paper 17911*. (*Link*)

ABSTRACT: We use the universe of US Patent and Trademark Office (USPTO) data on patents and inventors from 1976 to 2017 to look at how inventors' potential concern for business-stealing affects coauthorship on patents. First, we find an inverted-U shape in the fraction of coauthors that an inventor has per year who are new as a function number of other inventors also working in an inventor's field. Second, we find that after a breakthrough invention, an inventor brings in persistently fewer than usual new coauthors. Third, a higher potential concern for business stealing—as measured either by the number of others working or the average price markups by firms in the area—leads to a higher drop in the fraction of new co-authors per patent after a breakthrough. We show how these patterns can be explained via a simple model in which inventors trade off gains from collaboration against threats of business stealing.

## WORKS IN PROGRESS

**Adoption of Innovations.**
With Xavier Jaravel and Josh Lerner.

ABSTRACT: Growth models often assume that new products reach and benefit all consumers, yet evidence on who adopts and values which innovations covers only narrow product categories. We survey US adults about 169 innovations in 16 areas of daily life, recording whether and when they adopted each one and how it changed their own lives and society. Perceived impact follows a power law: the top five percent of products and services account for most of the above-average private and social impact of innovations, and for more than half of the variation in private impact. Groups that differ by income, education, age or race disagree about which innovations matter most. Linking the innovations to patents, firms and venture funding, we find that venture investment flows disproportionately toward the products and services consumers value most.

**Network Effects under Measurement Errors.**
With Isaac Meza and Yu-Jia Wang.

ABSTRACT: Observed social and economic networks are often mismeasured, and as a consequence standard estimates of network effects are biased and the effects are only partially identified. We model the observed network as a known but non-invertible map of the true underlying network and study identification of linear and nonlinear network effects under a general class of mismeasurements. We develop a sharp identified set using known sources of mismeasurement that provides robust bounds containing the observed network, with the downside that it can be computationally intractable under nonlinear settings. To address this, we build a robust

identified set on a Wasserstein ball around the observed network, so the measurement process does not need to be inverted. This set is bounded under a full-rank condition, which nonlinear network effects can satisfy without auxiliary information on the true network, but that can be refined by researcher's knowledge of the nature of mismeasurement. We characterize both sets in closed form for the linear-in-means specification with thresholded links, and provide a radius that contains the true effect. In simulations, we show the degree to which estimates that ignore the mismeasurement are biased, while both identified sets cover the true effect.

**Linked Ideas and Fortunes: Pricing Assets in General Equilibrium.**

ABSTRACT: I derive a general equilibrium value multiplier that characterizes to the first order the surplus created and destroyed by productivity improvements in a large class of economies with arbitrary firm-to-firm supply chains and product market competition. In the aggregate, it nests Hulten's theorem under perfect competition and Baqaee-Farhi's formulas under exogenous wedges. Beyond the aggregate, its endogenous distributional effects have an asset pricing interpretation where each firm's marginal stock return is its entry in the value multiplier capturing cash flows and risk. Finally, I characterize a dynamic value multiplier to the first order that shows how a technological improvement endogenously spurs further improvements for peer firms that learn from it. These multipliers provide a market based wedge which is a sufficient statistic for optimal research allocation that maximizes total shareholder value, and under a correction, of welfare.

## PUBLICATIONS

**Innovation Networks and Business-Stealing.** (2023) (*Link*)
*The Economics of Creative Destruction*, Harvard University Press, ed. Ufuk Akcigit and John Van Reenen. With Matthew O. Jackson and Antoine Mayerowitz.

**Analytical Tools in Private Equity: Return Bridge.** (2019) (*Link*)
*Harvard Business School Background Note 220-019*. With Victoria Ivashina.

**Valuation Techniques in Private Equity: LBO Model.** (2018) (*Link*)
*Harvard Business School Background Note 218-106*. With Victoria Ivashina and Alexey Tuzikov.

**Clayton, Dubilier & Rice at 40.** (2018) (*Link*)
*Harvard Business School Case 819-055*. With Josh Lerner and Terrence Shu.

## AFFILIATIONS

External collaborator, Google DeepMind
Associate, Opportunity Insights, Harvard University
CEP and Programme on Innovation and Diffusion, LSE

## AWARDS

| | |
|---|---|
| AEJ: Applied Economics, Excellence in Refereeing Award | 2026 |
| LSE Class Teaching Bonus Awards | 2025, 2026 |
| Michio Morishima Fund, STICERD | 2024, 2025 |
| Doctoral Fellowship, Department of Economics, LSE | 2021 |
| Annual Fund Scholar, Columbia University | 2015 |
| Indian National Mathematical Olympiad (top $\sim$ 300 from India) | 2009 |

## REFEREEING

*AEJ: Applied Economics*

## PRESENTATIONS

*(* by coauthor)*

**2026:** European Finance Association; Econometric Society ESM; EEA Summer Meeting; Econometric Society NASM; POID; Network Science in Economics (plenary session); HEC Paris PhD conference
**2025:** Econometric Society World Congress; CEP Annual Conference; LBS TADC; Warwick PhD conference; Cambridge Janeway Networks workshop
**2024:** Harvard Macro Lunch; HBS Finance Lunch; European Association of Young Economists; NSF Network Science in Economics; INSEAD-Collège de France; Workshop on

Entrepreneurial Finance and Innovation (student workshop)
**2020-23:** Economics of Creative Destruction conference*; HBS Entrepreneurial Management*; KCL-College de France; World Inequality Conference, PSE; INSEAD-Collège de France; HEC Finance Doctoral Workshop*

TEACHING (*TA for*)

**PhD**

| | |
|---|---|
| LSE, Static Optimization and Fixed Points (Francesco Nava) | Fall 2025 |
| LSE, Dynamic Programming and Differential Equations (Dimitry Mukhin) | Fall 2025 |
| LSE, Graduate Workshop on Networks; Instructor, co-organizer | Summer 2024 |
| LBS, Microeconomic Theory (Emre Ozdenoren, Jean-Pierre Benoit) | Fall, Spring 2022-24 |

**Masters**

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|---|---|
| LSE, Macroeconomics (Matthias Doepke) | Fall 2025 |
| SciencesPo, Microeconomics for Decision Makers (Charles P. Oman) | Spring 2021 |
| SciencesPo, Political Economy of International Development (Charles P. Oman) | Fall 2020 |
| SciencesPo, Global Inequality and Sustainability (Lucas Chancel) | Fall 2019, 2020 |
| Columbia University, Resource Allocation in Education (Henry M. Levin) | Spring 2017 |
| Columbia University, Economics of Education (Henry M. Levin) | Fall 2016 |

**Undergraduate**

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|---|---|
| LSE, International Economics (Isabela Manelici, Jose Vasquez) | Summer 2025 |
| LSE, Macroeconomics II (Mohan Bijapur) | Spring 2025 |
| LSE, Advanced Corporate Finance (Juanita Gonzalez-Uribe, Ashwini Agrawal) | Summer 2024 |
| LSE, Microeconomics (Christopher Sandmann, Pascuale Schiraldi) | Summer 2024 |
| LSE, Economic Reasoning (Ricardo Reis), Microeconomics I (Ronny Razin) | Fall 2022, 2023 |

RESEARCH EXPERIENCE (*RA for*)

| | |
|---|---|
| Imperial College London (Ramana Nanda) | 2022 |
| Collège de France (predoc) (Philippe Aghion) | 2020 |
| Paris School of Economics (Olivier Compte), World Inequality Lab (Lucas Chancel) | 2019 |
| Harvard Business School (Josh Lerner, Victoria Ivashina, Ramana Nanda) | 2018 |
| Columbia Law School (Katharina Pistor) | 2016 |

RESEARCH SUMMER SCHOOLS

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|---|---|
| Econometric Society, Dynamic Structural Econometrics | 2025 |
| NBER Entrepreneurship Research Boot Camp | 2024 |
| Israel Institute for Advanced Study (bounded rationality, imperfect cognition) | 2023 |
| University of Chicago, Human Capital and Economic Opportunity | 2018 |
| Institute of Mathematical Sciences, India (analytic number theory; graduate level) | 2012 |

LSE SERVICE

Co-head, Economics PhD Applicant Mentoring Program (AMP); Labor Student Seminar

SKILLS

Stata, R, Python, LaTeX

(*Last updated:* November 2026)